FUNCTIONAL SPECIFICATION (ANONYMIZED)

SAP 1099 MISC (NEC) Extract Enhancement

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Disclaimer: This document is a functional portfolio artifact. To protect confidentiality, all specific enterprise program names, internal systems, exact business logic variations, and executive stakeholder identities have been anonymized.

VERSION HISTORY

VERSION	REVISION DATE	DESCRIPTION OF CHANGE	AUTHOR
1.0.0	10/25/2025	Initial functional specification documentation	Greg Homstad

APPROVAL MATRIX

APPROVED BY	ROLE	APPROVAL DATE	SIGNATURE / ESIGNATURE
[Name Withheld]	Staff Enterprise Data Architect	TBD	
[Name Withheld]	Product Manager	10/26/2025	Via Email

DOCUMENT CONTROLS

CONTROL	DESCRIPTION
SYSTEM	SAP P41
OBJECT	Enhancement
PROCESS AREA	Finance - Accounts Payable / Tax
CHANGE TYPE	Report Logic & Output Extension
USER STORY #	SR-103598
METHODOLOGY	Agile

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1. INTRODUCTION

1.1 Purpose

This document defines the functional requirements to enhance the existing SAP 1099 MISC (NEC) extract program. The purpose of this enhancement is to improve accuracy, compliance, and usability of the 1099 MISC data output for Company Code 0001.

The enhancement introduces new logic and output formatting changes to ensure Accounting and Tax receive correct, reportable data for year-end processing.

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2. PROJECT OVERVIEW

2.1 Objectives

ID	OBJECTIVE	SPECIFIC	MEASURABLE	ACHIEVABLE	RELEVANT	TIME-BOUND
OBJ-01	**R1: Exclude Virtual Card Payments**	Filter records where BSEG-ZLSCH = 'B' and BSEG-QSSKZ ≠ blank	0 VC records in UAT output	Logic change only	Ensures compliance	UAT 10/28 – Prod 10/30
OBJ-02	**R2: Split and Format Recipient Name**	Apply rules by vendor type (S/T)	100% properly formatted	Data-driven update	Improves form clarity	UAT 10/28
OBJ-03	**R3: PO Box Address Priority**	If PO Box exists, display first	≥ 99% accuracy in tests	Existing fields used	Reduces returned mail	UAT 10/28
OBJ-04	**R4: Add Recipient Email**	Include vendor email field	≥ 95% population where maintained	Read-only add	Supports Tax communication	UAT 10/28
OBJ-05	**R5: Enable Excel Download**	ALV grid export available	No errors in 3 test runs	Standard ALV feature	Simplifies review	UAT 10/28

2.2 Assumptions

- No withholding configuration or form layout changes required.
- Enhancement applies only to P41 system and Company Code 0001.
- Testing will be performed in QA prior to migration.

2.3 Constraints

- Other company codes, variants (Primary variant, 1024S), and system PR3 are out of scope.
- Must fit within enterprise Q4 code freeze schedule.

2.4 Risks

RISK	IMPACT	MITIGATION
Incorrect filter logic	Virtual cards still included	Validate BSEG data sample before transport move
Incomplete vendor master data	Missing names or email	Coordinate with Vendor Master team
Short UAT window	Reduced validation time	Prepare UAT scenarios early

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3. SUPPORTING DOCUMENTS

3.1 As Is

The current 1099 Program pulls data from: BSEG, WITH_ITEM, BKPF, LFA1, ADRC. All payments with withholding codes (QSSKZ) are included, including virtual cards (ZLSCH = 'B'). Output file stored in: `/usr/sap/interfaces/zfap/out` (e.g. `ZFGL_REUSE_1099_<timestamp>.DAT`).

3.2 To Be

- Add selection checkbox “Exclude Virtual Card Payments.”
- Exclude records meeting ZLSCH='B' AND QSSKZ≠blank.
- Enhance output with: split names, PO Box preference, email column, Excel download.
- No changes to variant name or directory path.

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4. REQUIREMENTS

4.1 Business Rules/Requirements

BRD ID	BUSINESS RULE/REQUIREMENT
BR-01	Exclude virtual-card (ZLSCH = ‘B’) payments when withholding tax applies.
BR-02	Split recipient name by vendor type and display properly in output.
BR-03	If PO Box exists, show PO Box address first; else physical address.
BR-04	Add vendor email to output structure.
BR-05	Display report in ALV grid with Excel download enabled.

4.2 Functional Requirements

REQ ID	BRD ID	REQUIREMENT NAME	REQUIREMENT DESCRIPTION
FR-01	BR-01	Selection Screen Checkbox: Exclude Virtual Card Payments	Add checkbox labeled "Exclude Virtual Card Payments" to the selection screen (below "Clearing Date"). When checked (default), the program excludes records where BSEG-ZLSCH='B' and BSEG-QSSKZ is not blank. When unchecked, those records are included. Tooltip: "Exclude all Virtual-Card (Payment Method 'B') payments from 1099 output."
FR-02	BR-02	Recipient Name Logic	For Individuals (Vendor Type 'S'): concatenate First, Middle, Last, and Suffix. For Companies (Vendor Type 'T'): use LFA1-NAME1 and LFA1-NAME2.
FR-03	BR-03	PO Box Address Rule	If ADRC-PO_BOX is not blank, display PO Box address. Otherwise, use street address.
FR-04	BR-04	Recipient Email Field	Pull vendor email from communication data (ADR6-SMTP_ADDR) and display in output.
FR-05	BR-05	Excel Download Feature	Display report in ALV Grid and enable Excel export after log generation.

4.3 Stakeholder Requirements

STAKEHOLDER	REQUIREMENT
Corporate Accounting	Accurate, clean 1099 data without Virtual Card payments.
Corporate Tax	Proper name, address, and email formatting for IRS reporting.
SAP Development	ABAP logic modification using existing routines.

4.4 Solution Requirements

- Enhancement confined to the 1099 Program data selection and output logic.
- No interface or table schema changes.
- Use existing GET_DATA and output routine structures.

4.5 Transition & Interface Requirements

- Transport route: D41→ Q41→A41 → P41. No data migration needed.
- Output file remains in `/usr/sap/interfaces/zfap/out/`.
- No changes to integration or downstream systems.

4.6 Compliance & Security Requirements

- Must meet IRS 1099 MISC standards and internal enterprise SOX controls.
- No change in user roles or access levels.

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5. SUPPLEMENTAL DOCUMENTS

5.1 Traceability Matrix

BR ID / UC ID	DESCRIPTION	FR ID	DESCRIPTION	TEST CASE ID	DESCRIPTION	PRIORITY
BR-01	Exclude Virtual Card (ZLSCH = 'B') payments where withholding tax applies.	FR-01	Add checkbox parameter on the selection screen labeled "Exclude Virtual Card Payments." When checked (default), omit records where BSEG-ZLSCH = 'B' and BSEG-QSSKZ ≠ blank.	TC-01	Run report with checkbox checked → verify that no records with ZLSCH = 'B' appear in output.	High
				TC-02	Run report with checkbox unchecked → verify that records with ZLSCH = 'B' are included in output.	High
BR-02	Split recipient name by vendor type and display properly in output.	FR-02	Implement logic for Individual vendors (Type 'S') to concatenate First, Middle, Last, and Suffix; for Company vendors (Type 'T'), display LFA1-NAME1 and LFA1-NAME2.	TC-03	Validate correct name display for both vendor types in report output.	Medium
BR-03	If PO Box exists, show PO Box address first; else physical address.	FR-03	Prioritize ADRC-PO_BOX for address display; if not maintained, fallback to street address fields.	TC-04	Verify address logic correctly selects PO Box when present and street address when not.	Medium
BR-04	Add vendor email to output structure.	FR-04	Add vendor email address field from ADR6-SMTP_ADDR to report output. Display in dedicated column labeled "Email."	TC-05	Confirm email field populates for vendors with existing maintained email in SAP vendor master.	Medium

BR-05	Display report in ALV grid with Excel download enabled.	FR-05	Enable ALV grid view with Excel download functionality after successful log generation.	TC-06	Validate ALV Excel download produces file with correct data, column layout, and totals.	Medium
				TC-07	Verify Excel download button is disabled until ALV grid fully loads.	Medium

5.2 RACI Matrix

PROJECT ACTIVITY / DELIVERABLE	PM	PO	ARCHITECT	BUSINESS	DEV	QA	BASIS
Project Planning	A	R	C	C	I	I	I
Requirements Gathering	A	R	C	C	I	I	I
Functional Specification	A	R	A	C	I	I	I
Technical Design	C	I	A	I	R	I	I
Development (Coding)	I	I	C	I	R/A	I	I
Unit Testing	I	I	C	I	R/A	C	I
QA / UAT Testing	C	R	C	C	C	A	I
Defect Resolution	I	C	C	I	R/A	C	I
Approval & Signoff	A	R	A	C	I	C	I

5.3 Data Dictionary

FIELD NAME	TABLE / SOURCE	DATA ELEMENT / TYPE	DESCRIPTION	USAGE IN 1099 PROGRAM
WT_ACCO	WITH_ITEM	CHAR (10)	Vendor Account Number	Primary key linking to LFA1-LIFNR. Used for vendor identification.
BUKRS	WITH_ITEM	CHAR (4)	Company Code	Selection parameter and filter; scope limited to CoCd 0001.
GJAHR	WITH_ITEM	NUMC (4)	Fiscal Year	Used for fiscal period filtering and report year logic.
BELNR	WITH_ITEM	CHAR (10)	Accounting Document Number	Identifies payment document included in 1099 extract.
BUZEI	WITH_ITEM	NUMC (3)	Line Item Number	Represents individual posting line. Used in detailed output.
WITHT	WITH_ITEM	CHAR (2)	Withholding Tax Type	Determines form type (1099-MISC vs 1099-NEC).
WT_WITHCD	WITH_ITEM	CHAR (2)	Withholding Tax Code	Filters only records where withholding tax code is populated.
AUGDT	WITH_ITEM	DATS (8)	Clearing Date	Date of payment clearing; used as primary time filter.
WT_QSSHH	WITH_ITEM	CURR (15,2)	Withholding Base Amount	Taxable amount before withholding deduction.
WT_QBSHH	WITH_ITEM	CURR (15,2)	Withholding Tax Amount	Amount withheld; used in total reporting.
KOART	WITH_ITEM	CHAR (1)	Account Type	Limits selection to vendor accounts (K).
STBLG	BKPF	CHAR (10)	Reversal Document Number	Excluded when not blank to prevent duplicate reversal reporting.

BSCHL	BSEG	CHAR (2)	Posting Key	Determines debit/credit indicator and posting nature.
XZAHL	BSEG	CHAR (1)	Clearing Indicator	Excludes cleared or reversed items from reporting.
STCD1	LFA1	CHAR (16)	Tax Identification Number (SSN)	Primary taxpayer ID used in 1099 output.
STCD2	LFA1	CHAR (16)	Alternate Tax ID (EIN)	Used if STCD1 is blank; stored for corporate vendors.
NAME1	LFA1	CHAR (35-40)	Vendor Name Line 1	Recipient Name 1 output (Company or First Name).
NAME2	LFA1	CHAR (35-40)	Vendor Name Line 2	Recipient Name 2 (Last Name, Suffix, or Continuation).
STRAS	LFA1	CHAR (60)	Street	Vendor street address. Displayed if no PO Box.
PFACH	LFA1	CHAR (10)	PO Box	Used when maintained; takes precedence over street address.
ORT01	LFA1	CHAR (40)	City	Recipient city name for address output.
REGIO	LFA1	CHAR (3)	Region / State	State or province of recipient address.
PSTLZ	LFA1	CHAR (10)	Postal Code	Primary ZIP or postal code field.
PSTL2	LFA1	CHAR (10)	Additional Postal Code	Used when extended ZIP maintained (ZIP+4).
PFORT	LFA1	CHAR (35)	PO Box City	City name associated with PO Box region.
LAND1	LFA1	CHAR (3)	Country Key	Country of the vendor; output in 1099 data file.

ADRNR	LFA1	CHAR (10)	Address Number	Key linking vendor master (LFA1) to address data (ADRC).
ADDRNUMBER	ADRC	NUMC (10)	Address Number	Used for join from LFA1 to ADRC.
PO_BOX_REG	ADRC	CHAR (4)	PO Box Region	Used in address display when PO Box maintained.
ZLSCH	BSEG	CHAR (1)	Payment Method	Enhancement: Exclude Virtual Card (ZLSCH = 'B') when checkbox selected.
SMTP_ADDR	ADR6	CHAR (241)	Email Address	Enhancement: Added to output for vendor communication.
IDTYPE	Derived	CHAR (1)	Identification Type	Derived as S (SSN) or T (EIN) based on ID format.
REPORT_OUTPUT	Internal Structure	ALV Grid Table	Combined output from all joined tables displayed in ALV Grid.	
SEL_VIRT_EXCLUDE	Program Parameter	CHAR (1) - Checkbox	Enhancement: Selection screen checkbox. When checked, excludes virtual-card payments.	

APPENDIX A: KEY TERMS

TERM	DEFINITION
1099 MISC / 1099 NEC	IRS tax forms used to report payments made to vendors or non-employees. The 1099 MISC is used for miscellaneous payments; the 1099 NEC is used for reporting non-employee compensation.
1099 Program	Custom SAP ABAP program responsible for extracting 1099 data for year-end reporting. Enhancement subject to this document.
Virtual Card Payment (ZLSCH = 'B')	Payment method used for credit card–based vendor disbursements. These are non-reportable for 1099 purposes and must be excluded.
BSEG	SAP Financial Accounting Line Item table. Stores accounting document details such as payment methods (ZLSCH) and withholding tax codes (QSSKZ).
WITH_ITEM	SAP table containing withholding tax information for line items, including taxable amounts and withholding codes.
BKPF	SAP Accounting Document Header table, containing document type, company code, posting date, and reference information.
LFA1	Vendor Master (General Section) table, containing vendor names, account group, and address reference numbers.
ADRC	Central Address Management table storing address data such as PO Box, street, city, postal code, and region.
ADR6	Table containing email addresses for business partners (vendors, customers, etc.).
ALV (ABAP List Viewer)	SAP grid display tool used for dynamic report visualization and export functionality (Excel download).
Selection Screen Checkbox (SEL_VIRT_EXCLUDE)	New program parameter allowing users to include or exclude Virtual Card payments (ZLSCH = 'B') from report results.